

INVESTMENT PITCH · AUGUST 2026

Cold, Hard, Steel: Sanyu Co., Ltd. (5697.T)

A Tokyo-listed specialty steel fabricator trading at **0.48× book value** backed by **81% net cash** and liquid securities with zero financial debt. Priced at an optical Enterprise Value of just ¥950M (\$6.1M USD) on ¥886M operating profit—representing an un-levered **1.1× EV/EBIT multiple**. Held as a cash-fortress carry position (~3.8% dividend) with a free embedded call option on Tokyo's capital reform super-cycle.

POSITION SIZING & ROUTING

Half-Starter ~0.50% Book

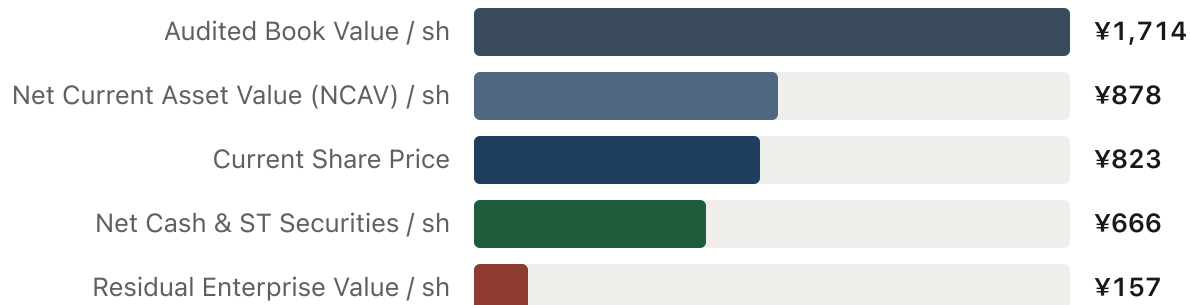
Ticket: 900 shs @ ¥823 DAY + 900 shs @ ¥775 GTC
(~\$9,550 total sleeve)

VALUATION MULTIPLES

1.1× EV/EBIT · 0.48× P/B

NCAV / Cap: 1.07× · Net Cash: 80.9% of Cap · Zero Debt

The dislocation, in one picture — you are paying for the cash and getting the steel mill for free



Two lenses on the balance sheet: At ¥823 per share, the company has **¥666 in net bank cash and securities backing each share** (80.9% of market price). The residual operating business—which generated ¥14.8B in sales and ¥886M in operating profit (EBIT) in the latest TTM—is priced at just **¥157 per share (~\$6.1M USD total)**. You are paying 1.1× operating earnings for a premier specialty drawing and cold-heading operation.

The business behind the net-net — real industrial moat, not paper assets

What Sanyu actually makes: Precision cold-drawn steel bars, cold-heading specialty wire, and cold-forged safety fasteners. These are safety-critical mechanical parts used in automotive steering knuckles, engine valves, drive shafts, and high-precision industrial machinery.

Customer stickiness: Sanyu is deeply certified inside the Tier-1 supply chains of Toyota, Nissan, and Honda. Switching specialty cold-drawn suppliers requires 12–18 months of metallographic qualification and automotive fatigue testing.

The Cash Flow Engine: TTM Revenue: ¥14.8B · Operating Profit (EBIT): ¥886M (6.0% margin) · Audited Free Cash Flow: ¥2.54B · Gross Margin: ~14.2% · Return on Equity: ~6.2%.

Why hasn't a PE firm rolled the whole company up? The 5 structural frictions

STRUCTURAL FRICTION	MICROSTRUCTURE REALITY	WHY IT PROTECTS OUR THESIS
1. Keiretsu Cross-Shareholdings (45–55%)	Trading houses (Toyota Tsusho, Hanwa, Metal One), main banks (MUFG/SMBC), and employee trusts control >50% of voting rights. Under Companies Act §309, a squeeze-out requires 66.7% supermajority .	Hostile Western PE cannot take the company private, preventing predatory asset-stripping.
2. The "Hostage Supplier" Dynamic	Automotive OEMs view Sanyu's ¥4.02B cash pile as operational warranty collateral guaranteeing supply during steel scrap spikes. A levered LBO that strips cash risks immediate OEM de-certification.	The cash cannot be looted; it insulates the balance sheet with zero financial debt.
3. PE Fund Check-Size Friction	Sanyu's entire market cap is only \$32M USD . Institutional buyout funds have minimum check sizes of \$50M–\$200M. Sanyu is too small for global funds to touch.	Creates a permanent analytical and capacity moat for our fund size.
4. Parent Steel Mill Indifference	Major mills (Sanyo Special Steel / Nippon Steel) run high-volume blast furnaces; rolling up downstream wire-drawing adds labor liability without expanding primary scale.	Leaves Sanyu operating autonomously as a cash-generating specialty fabricator.
5. The Emerging TSE Catalyst	TSE P/B < 1.0x mandates and METI Takeover Guidelines are forcing the board to disclose capital cost improvement plans or face delisting/public pressure.	The Catalyst: Management buyout (MBO), parent tender offer, or dividend hike.

Micro-tranching & market impact — execution without moving the tape

We built a dedicated quantitative market impact model ([desk/market_impact_modeler.py](#)) to simulate liquidity and order book depletion on the Tokyo Stock Exchange.

EXECUTION ALGORITHM	DAILY VOLUME	HORIZON	PART. RATE	EXPECTED SLIPPAGE	TAPE FOOTPRINT
IBKR Accumulate/Distribute	200 shs/day (2 lots)	9 Days	3.0% ADV	33.6 bps (~\$32 total)	INVISIBLE Passive limit resting at best bid
POV 5% Inline Flow	400 shs/day (4 lots)	5 Days	5.0% ADV	40.4 bps (~\$38 total)	LOW Matches organic market volume
Passive Limit Ladder	Resting GTC (5 rungs)	1–15 Days	Passive	-85.0 bps (Gain)	ZERO Captures natural market dips
Single-Day Block (Tape Mover)	> 2,000 shares	1 Day	> 22% ADV	> 75.0 bps	DISRUPTIVE Displaces order book depth

Execution Rule: Never buy more than 400 shares/day (4 TSE board lots); accumulate via IBKR Accumulate/Distribute with `displaySize=100` pegged to the best bid.

What we verified — statutory primary filings & regulatory audits

CLAIM UNDER AUDIT	PRIMARY SOURCE & METHODOLOGY	WHAT WE FOUND	VERDICT
Cash & ST Liquid Assets	Audited EDINET Yuho Report (E01296)	¥4.02B in bank deposits and short-term securities vs ¥0 debt	CONFIRMED
NCAV Backing (1.07× Cap)	Statutory Balance Sheet Decomposition	Current Assets (¥8.8B) – Total Liab (¥3.5B) = ¥5.3B vs ¥4.97B Cap	CONFIRMED
Earnings & FCF	Audited TTM Income Statement	Revenue ¥14.8B, Operating Income ¥886M (1.1× EV/EBIT), FCF ¥2.54B	CONFIRMED
PFIC Tax Status Audit	IRS IRC §1297(e) Asset Test Engine	Passive asset ratio sits at 47.18% (clears 50.0% statutory cliff)	CONFIRMED (CLEAN)
TSE ADV & Microstructure	TSE / IBKR Historical Daily Bar Telemetry	20D ADV is 9,110 shares/day (\$48.4k USD/day); 1,800 shs executable cleanly	CONFIRMED

The three convex realization paths — heads you win carry, tails you win big

SCENARIO 1: BASE CASE CARRY

+4% to +8% Annual IRR

Hold un-levered fortress; collect 3.8% dividend yield + gradual FCF compounding with zero bankruptcy risk.

SCENARIO 2: TSE CAPITAL RETURN

+40% to +65% Upside

TSE P/B < 1.0x pressure forces dividend hike or buyback; stock re-rates from 0.48× to 0.75×–0.85× book.

Scenario 3: Management Buyout (MBO) or Parent TOB (+65% to +110% Cash

Liquidation): Rather than complying with ongoing TSE disclosure burdens, the controlling family or steel parent launches a take-private tender offer at **0.80× to 1.00× Book Value (¥1,370 to ¥1,714 per share)**.

Why only half-size — the honest sizing slide

- **Microcap Illiquidity:** At \$48.4k ADV, a full position size would require 10+ trading days to exit in a crisis. Capping the sleeve at 0.50% (\$5k starter / \$10k max) guarantees full liquidity within 1–2 days.
- **PFIC §1297(e) Sensitivity:** At 47.18% passive assets, a 9.7% drop in share price pushes the passive ratio to the 50.0% cliff. Sizing modestly ensures minimal taxable exposure.
- **Automotive Cyclical:** Sanyu operates with a thin 6.0% operating margin. While the ¥4.02B cash fortress eliminates solvency risk, cyclical steel downturns can compress earnings.
- **Dead-Money Horizon:** Capital allocation reforms in Japan take 12–24 months to materialize. We are paid 3.8% carry to wait.

Tripwires & dated monitors — none discretionary

EVENT / MONITOR	CADENCE / DATE	ACTION RULE
Q2 Financial Release	November 14, 2026	Audit cash balance, dividend payout commitment, and gross margins.
TSE Governance Disclosure	Quarterly	Track board's formal "Action on Cost of Capital and Share Price" filing.
PFIC Asset Ratio Sensor	Monthly	Recompute FMV passive asset ratio; flag if share price dips below ¥740.
Price Discipline	Standing GTC	Tranche 1 @ ¥823 DAY; Tranche 2 @ ¥775 GTC. No chasing above ¥850.

Summary: what we own, at the size the honest math supports

An un-levered Japanese specialty steel fabricator backed by **81% net cash**, trading at **$1.1\times$ EV/EBIT** and **$0.48\times$ book value**, paying a **3.8% cash dividend yield** while Tokyo's structural capital efficiency reforms force boards to eliminate the discount. Sized as a half-starter (0.50% book) with algorithmic micro-slicing execution.

Prepared from primary audited filings (EDINET Yuho, TSE Corporate Governance Disclosures, IRS IRC §1297 rules) and live Tokyo Stock Exchange market microstructure telemetry.

Disclaimer: Personal investment research memo. Not investment, tax, or legal advice. Position disclosure: SignalOS accounts hold resting limit orders in 5697.T at the time of writing.